RW–11031

Sub. Code
632505

M.B.A. DEGREE EXAMINATION, APRIL 2016

Banking and Insurance

FINANCIAL MANAGEMENT

(CBCS 2008 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

All questions carry equal marks.

1. How does the finance function in business different from the accounting function?

2. What do you understand by the term 'environment of finance'?

3. Distinguish between term loan and convertible debenture.

4. Explain any two factors influencing working capital.

5. What is the relevance of cost of capital in financial management?

6. What is meant by financial risk?

7. What is meant by dividend policy?

8. Define the term 'optimum capital structure'.

9. Write a short note on IRR.

10. State the importance of financial leverage.

Part B $(5 \times 5 = 25)$

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

11. (a) Describe the concept of time value of money and discounting as fundamental principles of financial management.

Or

(b) What is finance function? Who discharges this finance function and what are its specific responsibilities?

12. (a) Differentiate between term loan and working capital loan. Enumerate the criteria in evaluating term-loan proposals and working capital proposals.

Or

(b) Describe the nature of short-term and long-term requirements of finance in a business and the sources from which they can be arranged.

13. (a) What do you understand by capital structure of a corporation? Discuss the qualities which a sound capital structure should possess.

Or

(b) Calculate the degree of :

(i) Operating leverage

(ii) Financial leverage and

(iii) Combined leverage from the following data :

Sales 1,00,000 units @ Rs. 2 per unit = Rs. 2,00,000

Variable cost per unit @ Rs. 0.70

Fixed costs Rs. 1,00,000

Interest charges Rs. 3,668.

14. (a) ABC Ltd. is proposing to take up a project which will need an investment of Rs. 40,000. The net income before depreciation and tax is estimated as follows :

Year	Rs.
1	10,000
2	12,000
3	14,000
4	16,000
5	20,000

Depreciation is to be charged according the straight line method @ 10% p.a. Tax rate is 50%. Calculate the Pay Back Period.

Or

(b) A company's current earnings before interest and taxes (EBIT) are Rs. 4,00,000. The firm currently has outstanding of Rs. 15 lakhs of debts at an average cost (K*i*) of 10%. Its cost of equity capital (K*e*) is estimated to equal 16%. Determine the current value of the firm using the traditional valuation approach.

15. (a) Discuss briefly the factors influencing the dividend declaration and payment.

Or

(b) A closely-held plastic manufacturing company has been following a dividend policy which can maximize the market value of the firm as per Walter's model. Accordingly, each year at dividend time the capital budget is reviewed in conjunction with the earnings for the period and alternative investment opportunities for the shareholders. In the current year the firm reports net earnings of Rs. 5,00,000. It is estimated that the firm can earn Rs. 1,00,000 if the amounts are retained. The investors have alternative investment opportunities that will yield them 10%. The firm has 50,000 shares outstanding. What should be the dividend payout ratio of the company if it wishes to maximize the wealth of the shareholders?

Part C

(3 × 10 = 30)

Answer any **three** questions.

All questions carry equal marks.

16. 'An optimal combination of the decisions relating to investment, financing and dividends will maximize the value of the firm to its shareholders'. Examine the statement.

17. How does cost of equity and debt be computed? Illustrate.

18. Explain in brief the theories of Dividend.

19. From the following the capital structure of a company, calculate the overall cost of capital, using :

    (a) Book value weights and

    (b) Market value weights.

Source	Book value Rs.	Market value Rs.
Equity share capital (Rs. 10 shares)	45,000	90,000
Retained earnings	15,000	–
Preference share capital	10,000	10,000
Debentures	30,000	30,000

The after-tax cost of different sources of finance is as follows :

Equity share capital : 14%; Retained earnings : 13%; Preference share capital : 10%; Debentures : 5%

20. A hospital is considering to purchase a diagnostic machine costing Rs. 80,000. The projected life of the machine is 8 years, and it has an expected salvage value of Rs. 6,000 at the end of 8 years. The annual operating cost of the machine is Rs. 7,500. It is expected to generate revenues of Rs. 40,000 per year for 8 years. Presently, the hospital is outsourcing the diagnostic work and is earning commission income of Rs. 12,000 per annum, net of taxes. Whether it would be profitable for the hospital to purchase the machine? Give your recommendation under Net Present Value.

Year	1	2	3	4	5
PV factor	0.909	0.826	0.751	0.683	0.621
Year	6	7	8		
PV factor	0.564	0.513	0.467		

RW–10734

Sub. Code
632204

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Second Semester

MONETARY MANAGEMENT

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Section A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. What is capital market?
2. What is meant by rediscount?
3. What is NPA?
4. What is deposit insurance?
5. What is clearing house?

Section B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the characteristics of Indian money market.

Or

(b) Discuss various instruments handled in Indian money market.

7. (a) Describe the functions performed by a central bank.

Or

(b) 'Central bank performs commendable role in a developing economy' – Elucidate.

8. (a) Brief various functions performed by RBI.

Or

(b) Discuss provisions of regulation of RBI related to capital and reserves.

9. (a) Discuss the promotional functions of the RBI related to industrial finance in India.

Or

(b) What is Credit Information Bureau? Explain its functions.

10. (a) Explain the objectives and effectiveness of Monetary Policy.

Or

(b) Evaluate the role of monetary policy of the RBI in economic development of the nation.

Section C $(1 \times 10 = 10)$

Compulsory.

11. What is Monetary Management? How it is implemented with instruments of Reserve Requirement and Open Market Operations?

RW–10736

Sub. Code
632205

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Second Semester

BANKING LAW

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is 'lien'?

2. What do you mean by nomination?

3. Define cheque.

4. What is endorsement?

5. What is meant by holder in due course?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the relationship between the banker and the customers as debtor and creditor.

Or

(b) Define the terms 'banker' and 'customer'. Describe the general and special relationships between banker and customer.

7. (a) Explain various types of accounts.

Or

(b) Discuss the legal position of a banker regarding fixed deposits.

8. (a) Differentiate holder for value and holder in due course.

Or

(b) Explain different kinds of crossing? Distinguish between general and specific crossing.

9. (a) Discuss the legal status of the collecting banker.

Or

(b) Discuss various circumstances under which a banker refuses to pay for a cheque.

10. (a) Explain the provisions related to registration of securitization companies or reconstruction companies under SERFAESI Act.

Or

(b) Discuss problems in implementing SERFAESI Act.

Part C $(1 \times 10 = 10)$

Compulsory.

11. An open bearer cheque for Rs. 7,000 drawn by your customer is presented for payment. The balance in his account is Rs. 6,600. The presenter while talking to the ledger keeper comes to know that the balance is short by Rs. 500. He pays into the account Rs. 500 by a pay-in-slip

and informs the ledger keeper about the credit and gets his cheque for Rs. 7,000 passed. The drawer, when he comes to know of this, complains to the manager and asks for a refund of the sum of Rs. 7,000.

How will you as a banker deal with the situation?

RW–10739

Sub. Code
622206/ 632206/ 641206/ 643205

M.B.A. DEGREE EXAMINATION, APRIL 2016

Banking and Insurance

FINANCIAL MANAGEMENT

(Common for CS/B & I/G/LM)

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What are the goals of financial management?

2. What are the long term financing sources and relevant instruments?

3. Explain any one theory of capital structure.

4. What do you mean by payback period? What are it types?

5. State the objectives of ploughing back of earnings.

Part B (5 × 10 = 50)

Answer **all** questions.

All questions carry equal marks.

6. (a) Explain the functions of financial management in detail.

Or

(b) The financial data of a firm is given as follows :

10,000 Equity shares of Rs. 100 Rs. 10,00,000

12% Pref. shares of Rs. 10 Rs. 5,00,000

Profit after Tax Rs. 4,00,000

Equity dividend paid Rs. 20,000

Market price of Equity share Rs. 120

Calculate the following ratios.

(i) Dividend yield on equity shares.

(ii) Cover for preference and equity dividend.

(iii) EPS for equity shares.

(iv) Price-Earning ratio.

7. (a) What do you understand by capital issue management? What are its functions and functionaries?

Or

(b) Prepare an estimate of working capital requirements from the following information of a trading concern.

(i) Expected annual sales 1,00,000 units

(ii) Selling Price Rs. 10/unit

(iii) Cost of production and sales Rs. 7,50,000

(iv) Average credit allowed to customers 10 weeks

(v) Average credit allowed by suppliers 5 weeks

(vi) Average stock holding (at cost price) 8 weeks

Consider 10% contingencies in your estimate.

8. (a) Discuss the factors determining the cost of capital. How do they influence the planning of capital structure?

Or

(b) Pushpakanthi Ltd. sells goods at a gross profit of 125%. Depreciation is considered in cost of production.

(i) Sales (2 months credit) Rs. 18,00,000.

(ii) Material consumed (1 month credit) Rs. 50,000.

(iii) Wages paid (1 month delay) Rs. 3,60,000.

(iv) Administration Expenses (1 month lag) : Rs. 1,20,000.

(v) Sales promotion expenses paid quarterly in advance: Rs. 60,000.

(vi) Income Tax payable in 4 equal instalments of which one falls due in the next year : Rs. 1,50,000.

The company also keeps one month's stock of each of raw material and finished goods. It also keeps cash of Rs. 1,00,000. Assuming 15% safety margin compute the working capital requirement on cash basis.

9. (a) What is capital rationing? How does it influence capital investment proposals positively?

Or

(b) The directors of Balamurali Enterprises Ltd ask you to ascertain :

(i) Proprietor's fund

(ii) Fixed Assets

(iii) Closing Debtors

(iv) Closing Creditors

(v) Closing Stock

(vi) Share Capital

(vii) Cash and Bank Balance

From the following information :

(1) Inventory turnover ratio is 6 times. Year end debtors are outstanding for 2 months. Year end creditors are outstanding for 73 days.

(2) Ratios of cost of goods sold to :

(A) Proprietor's funds is 2:1

(B) Fixed Assets is 4:1.

(3) Ratio of gross profit to sales is 20%

(4) Closing stock is greater than opening stock by Rs. 10,000.

(5) The gross profit for the year ended 31st March 2011 is Rs. 1,20,000.

(6) Reserves and surplus appearing in the Balance sheet as at 31st March 2011 total to Rs. 40,000.

10. (a) What are the factors affecting dividend decisions of a company, with long term goals for diversification and modernization?

Or

(b) Calculate operating, financial and combined leverage under financial Plan *X* and financial Plan *Y* when the fixed costs are Rs. 50,000 and Rs. 1,00,000 in two different situations.

The information regarding capital structure and other data are as under.

Total Assets Rs. 5,00,000

Total Assets turnover based on sales 2

Variable cost as percentage of sales 60

	Financial Plan '*X*'	Financial Plan '*Y*'
	Rs.	Rs.
Equity	5,00,000	1,00,000
10% debenture	1,00,000	5,00,000

Part C (1 × 10 = 10)

Case study — Compulsory

11. Agalya Pvt. Ltd. company is to start a new project which is having cost of Rs. 50,000 and life of 5 years. Salvage value is nil, tax rate for the company is 55% and it follows S.L.M. method of depreciation. The Cash Flows Before Tax (CFBT) are as follows:

Year	1	2	3	4	5
CFBT: (Rs.)	10,000	11,000	20,000	30,000	35,000

Compute the following :

(a) Payback period

(b) Average rate of return

(c) Internal rate of return.

RW–10743

Sub. Code
632702

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016.

Second Semester

INTRODUCTIONS TO INSURANCE

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Who is insurer?

2. What is marine insurance?

3. What is meant by motor insurance?

4. What is indemnity?

5. What is claim?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the functions of insurance.

Or

(b) Explain the Principles of Insurance.

7. (a) What are the requirements for settling death claim under early and non-early claim?

Or

(b) What are the important features of general Insurance?

8. (a) Explain the functions of IRDA.

Or

(b) Discuss effects of reforms in Indian insurance industry.

9. (a) Discuss economic principles of insurance.

Or

(b) Discuss current scenario of general insurance in India.

10. (a) Explain various distribution channels of marketing the products insurance.

Or

(b) Discuss the position of current insurance market in India. Offer your suggestions to develop insurance market.

Part C $(1 \times 10 = 10)$

Compulsory.

11. "Assets management functions in all insurance company is very easy; you have to just follow the IRDA guidelines". – Elaborate.

RW–10763

Sub. Code
632401

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

Banking and Insurance

RISK MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. Distinguish between risk and uncertainity.

2. How is market risk measured in banks?

3. What do you understand by bulls-s[reads?

4. State the sources of risks in banks.

5. What is risk avoidance? How is it done in banks?

Part B (5 × 10 = 50)

Answer **all** the questions by choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the various types of risks in business.

Or

(b) Explain the need for risk management.

7. (a) How would you measure the market risks? Explain.

Or

(b) State the importance of risk management in the context of ALM.

8. (a) State the differences between neutral and volatile strategies.

Or

(b) Explain the concept of 'counter-party credit risk'. How could it be managed?

9. (a) What is the common framework for potential risk identification?

Or

(b) What are the symptoms of direct and indirect losses in risk evaluation?

10. (a) Explain the concept of 'risk transfer' with a suitable example.

Or

(b) How would you differentiate risk reduction from that of risk prevention?

Part C $(1 \times 10 = 10)$

Compulsory.

11. Parul Agarwal received a brand new Maruti zen from her husband on her Birthday. The car was insured against damage or loss with wheels Insurance Company for an amount of Rs. 5 lakhs with deductible of Rs. 75,000. One day Parul who was an experience driver, took the car out to visit her friend. On the way to her friends place, she had to stop at a traffic signal.

Although she stopped her car to avoid jumping the signal, a speeding driver from behind rammed into her car. The impact of the collision was such that Parul suffered severe injuries and she had to be hospitalized. Her car was reduced to a wreck.

Investigation revealed that the car that hit Parul's car was being driven by one Ranjit Garg.

Parul filed a claim for loss with her Insurance Company and received Rs. 4,25,000 as damage claim. The Insurance Company inturn sued Ranjit on behalf of its policy holder, Parul for the same amount that it had paid her. Ranjit approached the court challenging the validity of the Insurance Company's suit.

Questions :

Explain the principle on the basis of which, the Insurance Company accepted Parul's claim and later filed a suit against Ranjit.

RW–10764

Sub. Code
632402

M.B.A.(B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

MARINE INSURANCE

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Define insurance.
2. What is inland vessel?
3. What is the main objective of International Union of Marine Insurers?
4. What do you mean by salvage charges?
5. What is claim?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain different types insurance policies to cargo.

Or

(b) Describe salient features of a contract of marine insurance.

7. (a) What are the subject – matters which are insured by marine insurance?

Or

(b) Describe the types of policies to cover ship owner's insurable interest.

8. (a) Explain various types of marine losses.

Or

(b) Explain the scope and policy terms and conditions for cargo insurance.

9. (a) Explain the following terms

(i) Particular average loss

(ii) General average loss and

(iii) Constructive total losses.

Or

(b) Discuss about settlement of claims in respect of Hull, Freight and Salvage charges.

10. (a) Describe the scope of insurance surveyors.

Or

(b) Explain subdivisions of hull insurance.

Part C $(1 \times 10 = 10)$

Compulsory

11. Read the following case and answer the given question.

P held, as indorsee, a bill of lading for groundnuts shipped from Mumbai to London. During the voyage, the ship deviated and called at a port not lying on the prescribed route, resumed the prescribed route and collided with another vessel that was being navigated negligibly. In consequence of the collision, a quarter of the groundnuts was lost. The vessel proceeded on her voyage and was sunk by an enemy submarine near London.

Discuss Can P recover his loss from the ship–owner?

RW–10765

Sub. Code
632403

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

MOTOR INSURANCE

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What are the principles of motor insurance?

2. What is two wheeler insurance? Why it is required?

3. What is meant by a cover note?

4. Define De-tariffing.

5. Write short note on: Motor Accident claims Tribunal.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the various types of motor vehicles.

Or

(b) Explain the scope of cover, exclusions and claim procedure in respect of motor insurance.

7. (a) Explain in detail the third party liability insurance.

Or

(b) Explain about the policies for commercial vehicles.

8. (a) Discuss about the Double Insurance for liability only and package policies.

Or

(b) Write short note on:

(i) Renewal Notice

(ii) Policy Form A

(iii) Policy Form B

(iv) Registration certificate.

9. (a) What are the factors to be considered for fixing the premium rates for motor insurance?

Or

(b) Explain about Motor Trade (Road Transit Risks) Insurance Policy.

10. (a) Explain the procedure for the settlement of Third Party Bodily Injury claims for both fatal and non-fatal.

Or

(b) Explain the following:

(i) Hit and Run Accidents

(ii) No claim Bonus

(iii) Claims settlement commissioner.

Part C (1 × 10 = 10)

Compulsory questions.

11. Roy's daughter gives permission for a neighbour to borrow her father's car thinking it will be all right because the neighbour is a good friend of her family. Under the terms of personal Auto Policy, will the neighbour be covered while driving Roy's car? Why or why not?

RW–10766

Sub. Code
632404

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

EXECUTIVE COMMUNICATION

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is the need for Communication?

2. What is Interpersonal Communication?

3. What do you mean by inter bank Communication?

4. How does Visual Communication support effective presentation?

5. What is Group Communication?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the barriers of Communication.

Or

(b) Discuss the factors determining effective Communication.

7. (a) What are the needs for improving listening skills in effective Communication?

Or

(b) How does body language play an important role in non-verbal communication? How could body language be used effectively? State its advantages.

8. (a) Explain various factors to be considered for writing good business letter.

Or

(b) Write notes on :

(i) Minutes

(ii) Agenda and

(iii) Circular.

9. (a) What is group discussion? Explain the components of effective group Communication.

Or

(b) Explain the role of technologies in Business Communication.

10. (a) Discuss the steps involved in organizing a business meeting.

Or

(b) Explain the advantages and disadvantages of seminars, workshops and conferences.

Part C (1 × 10 = 10)

(Compulsory)

Answer the given question :

11. Professor Sharma has asked you whether you would be interested in the post of a Mechanical Engineer with ABC Textiles Mills, Mathura Road, Faridabad. Draft

    (a) a letter of thanks to Professor Sharma for this suggestion and

    (b) an application for the post of Mechanical Engineer, giving particulars about your age, qualifications, experience, etc.

RW–10767

Sub. Code
632405

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

E-BANKING

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is microfiche?

2. Distinguish between on-line and off-line UPS?

3. What is electronic purse?

4. What is digital signature?

5. What is Information System Audit?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) What are the major issues relating to the use of internet in the realm of banking and financial services?

Or

(b) Explain the features of signature storage and retrieval system.

7. (a) What are the advantages of core banking?

Or

(b) Discuss the need for computerization in banks.

8. (a) What is digital cheque and its features? What are the steps involved in electronic cheque system and its benefits?

Or

(b) What is ATM PIN and how is it used?

9. (a) Discuss the applications of VSATs based INFINET.

Or

(b) Write notes on SWIFT.

10. (a) Explain the different risks associated with e-banking?

Or

(b) What should be the goals of disaster recovery management in e-banking?

Part C $(1 \times 10 = 10)$

(Compulsory)

11. Read the following case and answer the questions :

Kutak Mahindra Bank and Poonam Gulati reported to Cyber Police that an amount worth Rs. 17 lacs has been illegally transferred to account in the name of Gourav Shukla from account of Poonam Gulati through internet banking and susequently withdrawn from various ATMs. The matter came to light when Mrs. Poonam Gulati read her bank account statement in

the month of July that amount worth Rs. 17 lac had been transferred through internet banking to some new account which she didn't know. She enquired at the bank and asked when she didn't opt for internet banking then how it can be activated and transfers could he made.

On preliminary enquiry Cyber police found that it was an act of cheating forgery and fraud against the bank and not the customers as the customer never asked for the activation of Internet banking. Hence a FIR was lodged in the name of Kotak Mahindra Bank.

As per complaint, a fake account was opened in the name Gourav Shukla. For the purpose of cheating, the suspect approached the bank and submitted forged document to add mobile in the account of Poonam Gulati. The bank official matched only PAN number, but didn't match the photocopies with the original. After getting registered the mobile number in the account of Poonam Gulati, the suspect requested to add Internet banking in the account of Poonam Gulati. After getting Internet banking activated, the suspect made request 'forgot password' through Internet banking. He could obtain the same partially on internet window and partially on registered mobile. The suspect after getting the internet banking password, transferred Rs. 17 lacs, one lac each per day from the account of Poonam Gulati to account of Gourav Shukla. He withdrew money at the rate of One lac per day from the various ATMs of State Bank of India wearing helmet.

Cyber police found that suspect entered Cyber cafe with fake Name and address. Cyber police aided several places and arrested Rahul Sharma. Reetesh Choukse, Shyam Yadav and Pramod Jaiswal.

Discuss the control failures of this case.

RW–10768

Sub. Code
632406

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Fourth Semester

RURAL BANKING

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Define the term Rural Poverty.

2. What are the financial issues of rural area?

3. What is lead bank approach?

4. Write the importance of RNFS.

5. Write short note on Poverty Alleviation Programme.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain Demographic features of rural India.

Or

(b) Discuss characteristics of Indian Rural Society.

7. (a) Illustrate the role of agriculture in Indian economic development.

Or

(b) Elucidate the economic reforms and its impact on rural economy.

8. (a) Explain the functions and policies of RBI in Indian Rural Banking.

Or

(b) Discuss the Rural Insurance and Micro Insurance schemes in India.

9. (a) Why crop loan is important? Write about the activities of crop loan at different levels.

Or

(b) Enumerate the financing of MSME and refinancing from SIDBI.

10. (a) Explain the various components of priority sector lending.

Or

(b) Discuss about current problems and prospects of rural banking.

Part C (10)

(Compulsory)

11. You are a regional manger of a commercial bank. You have assigned to disperse loans to the rural market. How will you carry out the assignment with your understanding about rural market and banking system?

———————

RW–10952

Sub. Code
632302

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Third Semester

LIFE ASSURANCE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Explain the term life assurance.

2. What is underwriting?

3. What is surrender value in insurance?

4. What is foreclosure?

5. What determines presumption of death?

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

6. (a) Discuss the nature of insurance services industry.

Or

(b) Discuss the factors affecting mortality rate.

7. (a) Explain the various methods of underwriting.

Or

(b) Discuss the role sources of underwriting data.

8. (a) Discuss briefly on the components of policy document.

Or

(b) Discuss the methods of calculating premium for different types of insurance.

9. (a) Discuss the procedure for foreclosure.

Or

(b) Explain the calculation of surrender value.

10. (a) Discuss the types of post maturity options.

Or

(b) Explain the process involved in claims concession.

Part C (1 × 10 = 10)

Compulsory

11. Study the Case below and answer the question.

James represented a man who had been shot in the leg by the driver of a vehicle in which the client was riding as a passenger. The client sustained severe injuries to his leg because of the gunshot. Prior to shooting the client, the driver had removed the gun from the glovebox of his vehicle. The insurerer's case investigation showed the defendant driver had routinely used the vehicle to store and transport the gun prior to the clients injury. The defendant driver's insurance company denied the client any insurance coverage for his injuries by claiming the use of the gun was not connected with any use of the insured vehicle. Litigation with the insurance company was necessary. The court found in favor of the client by

ruling that the driver's regular practice of storing and transporting the gun in the vehicle was sufficiently tied to the use of the vehicle for there to be insurance coverage. While the case was on appeal to the North Carolina Supreme Court the case was settled for the amount of Rs. 3,50,000.

Question: How can using the process of exclusion of risks be used in the above case?

RW–10953

Sub. Code
632305

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Third Semester

CREDIT MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Explain the term bank credit.

2. What is SME?

3. What is a bankable project?

4. What is meant by law of limitation?

5. What are non-performing assets?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

6. (a) Discuss the traditional handling of credit management.

Or

(b) Discuss the principles of credit risk management.

7. (a) Explain bill purchase and bill discounting.

Or

(b) Discuss the importance of priority sector lending in India.

8. (a) Explain the process of project preparation and appraisal.

Or

(b) Discuss on the economic and commercial appraisal of a project.

9. (a) Discuss the role and need of documentation in credit management.

Or

(b) Explain the nature and importance of encumbrance report.

10. (a) Discuss the methodology of credit monitoring in large banks.

Or

(b) Explain the different recovery mechanisms and their pros and cons.

Part C $(1 \times 10 = 10)$

Compulsory.

11. Discuss any three of the following statements from your perspective.

(a) 'Gold loans are the best and safe bet for a bank'.

(b) 'Profit is there at the bottom of the pyramid'.

(c) 'The easy loans are the big loans'.

(d) 'The recovery of loans is more difficult than lending'.

RW–11027

Sub. Code
632301

M.B.A. DEGREE EXAMINATION, APRIL 2016

M.B.A. (B & I)

FINANCIAL SERVICES

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What do you mean by financial service market?

2. What is asset securitization?

3. What is "buy-out" financing?

4. What are the capital restructuring services of a merchant banker?

5. State the features of cross border factoring.

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

6. (a) Briefly explain the any four primary market instruments.

Or

(b) Write a note on main players of the Indian financial market.

7. (a) What is the working mechanism and functions of AMC?

Or

(b) Examine the role of specialized institutions in financial market.

8. (a) Explain the role of merchant bankers in issue management.

Or

(b) Explain the growth factors to solve the issues of real estate financing.

9. (a) Explain the precautions to be taken by a banker during bill financing to a customer.

Or

(b) Explain the concept of Hire purchase financing and differentiate it from lease financing.

10. (a) Explain the various types of venture capital financing.

Or

(b) Explain modus operandi involved in forfaiting.

Part C (10)

(Compulsory)

11. Give your comments on the following statements

(a) Financial intermediaries have to perform the task of financial innovation to meet the dynamically changing needs of the economy.

(b) Mutual funds provide stability to share prices, safety to investors and resources to prospective entrepreneurs.

RW–11028

Sub. Code
632303

M.B.A. DEGREE EXAMINATION, APRIL 2016

FOREIGN EXCHANGE

(Common for MBA (B &I))

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What are the features of foreign currency accounts?
2. What do you mean by Foreign Traveller's Cheques?
3. What do you mean by flexible exchange rate?
4. What do you understand by SWIFT?
5. What is foreign exchange exposure?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) State the important dealers in the foreign exchange market.

Or

(b) Discuss the functions of commercial banks with regard to foreign exchange.

7. (a) How does buying and selling rates are determined in foreign exchange transaction?

Or

(b) Explain the working mechanism.

8. (a) Examine the role of Export Credit Guarantee Corporation of India.

Or

(b) Discuss the merits and demerits of convertibility.

9. (a) Explain the responsibilities and liabilities of parties towards letter of credit on import bills.

Or

(b) Discuss the various causes of changes in the exchange rate.

10. (a) Explain the trends and management of foreign exchange reserves of India.

Or

(b) Examine the risks of currency exchange and their management.

Part C (10)

(Compulsory)

11. Give your comments on any two of the following questions

(a) Do you think that because of the cost of moving bank notes back to their country of circulation, buying foreign currency bank notes could sometime be cheaper than buying back drafts

(b) What might a borrower want to borrow in a currency that is at a forward discount if that borrower faces a higher tax rate on interest income than on capital gain

(c) Would it make sense add a firm's exposure in different currencies at a spot exchange rate to obtain a measure of the firm's aggregate exposure? If not, why not?

RW–11029

Sub. Code
632304

M.B.A. (B&I) DEGREE EXAMINATION, APRIL 2016

MARKETING OF BANKING SERVICES

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Define product concept in service marketing.

2. What is meant by Anywhere Banking?

3. Define accessibility.

4. What is social banking?

5. Write a short note on Bank assurance.

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the relevance of Marketing in Banking.

Or

(b) What are the importance elements of service that customer must desire of their banks?

7. (a) Explain the steps involved in implementing promotional campaign for banks.

Or

(b) Explain the tools and need of public relations for bank products.

8. (a) What are the factors that influence the appearance of a location? Explain in detail.

Or

(b) Discuss the role of Price and explain the factors influencing the rate of interest.

9. (a) How can a bank develop personnel to deliver quality services?

Or

(b) Write a detail note on 'role frontline staff' in bank marketing.

10. (a) Explain with an illustration of a bank product, the life cycle concept in service marketing.

Or

(b) State the reason for failure of a new service product of a bank.

Part C (10)

(Compulsory)

11. Give your comments on the following statements

(a) A bank marketer have to have a network of branches on a much larger scale than a product marketer.

(b) Price as a tool in marketing strategy of banks has got very little practical utility because of the administered pricing structure

RW–11030

Sub. Code
632306

M.B.A. (B & I) DEGREE EXAMINATION, APRIL 2016

Third Semester

FIRE INSURANCE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Define fire insurance contract.

2. List out the significance of cover note.

3. Write short note on fire protection system.

4. Write the non-concurrence policies in fire insurance claims.

5. What is meant by payment of claim by mistake?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the essential elements of Fire Insurance Contract.

Or

(b) Explain the Floater Polices and Declaration Policies in fire insurance.

7. (a) Illustrate different theories of fire rating.

Or

(b) Elucidate all kinds of Fire Insurance Documents.

8. (a) Write the fire hazards arising out of construction and from electrical equipments.

Or

(b) Explain the different types of industry specific fire hazards.

9. (a) Elaborate on Fire Insurance Claim procedure.

Or

(b) Discuss about ascertainment of Quantum of Loss and Salvage Disposal procedures.

10. (a) List out the functions and duties of Fire Insurance Surveyors.

Or

(b) Discuss the elements in the Survey Report for claim.

Part C (10 marks)

Compulsory.

11. You are a manager of a warehouse where inflammable chemical are stored. How will you prevent fire accidents and what will be your actions in case of untoward incidents out of predominant risk by the inherent nature of the material stored.

RW–10731

Sub. Code
632203

M.B.A. (B&I) DEGREE EXAMINATION, APRIL 2016

Second Semester

PRACTICE OF COMMERCIAL BANKING

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What do you mean by commercial banks?

2. Write a note on NEFT.

3. What is meant by joint account?

4. What are government securities?

5. What is lien?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the secondary functions of a commercial bank.

Or

(b) Discuss Indian banking system.

7. (a) Explain the principles of sound lending.

Or

(b) Explain the precautions to be taken by a banker while lending housing loans.

8. (a) What are the precautions to be taken by a banker while opening an account for a joint stock companies?

Or

(b) Explain procedures to be followed to open an account in joint account.

9. (a) Explain procedures to be followed while lending against corporate securities.

Or

(b) Write notes on

(i) Loan against real estate and

(ii) Loan against fixed deposits.

10. (a) State the points to be considered while advancing loans against mortgage.

Or

(b) Distinguish between pledge, hypothecation and mortgage.

Part C $(1 \times 10 = 10)$

Compulsory.

11. Mr. Saxena was a young officer in an industrial bank at Chennai. He was approached by Mr. Mehrotra, owner of a small textile plant, for a loan to renovate his plant. Saxena gave him a loan of Rs.5,00,000. The bank's

branch manager, who saw no future in textiles, was shocked at the loan transaction. He told Saxena to stay close to Mehrotra until the money was paid back. Saxena stuck so closethat he became Mehrotra's financial adviser. The loan was repaid but Saxena became Mehrotra's partner and resigned his bank job. Within three years Saxena set up another textile plant and after two decades his textile unit became the second fastest growing textile company in the country. Saxena's management style was characterized by an emphasis on innovation and tight control. To his employees Saxena was a friendly and a highly visible boss. He always walked around the plant and called the vast number of his workers by their first names. He preferred to lead by example rather than telling people how to do their jobs. However, Saxena had a severe heart attack and died.

(a) What is an Industrial Bank? What type of loans can you get from commercial banks?

(b) Mr. Saxena's wife took over the business and she wanted to appoint a manager. Suggest a source to recruit the manager. Give reasons why you selected such a source.